

menstrual-hygiene products from the cosmetic companies that Ms. Hall analyzes. In fact, she seemed to be running a little drugstore counter in there. Before I was able to sit down, she'd handed me the newest Gillette disposable razor, a brown one that swivels, and invited me to try it out and give her an opinion.

Ms. Hall was as charming as she was attractive. She said she'd been an analyst for only two and a half years, and worked as an editor at *Harper's Bazaar* before that. It was comforting to hear her say that being a securities analyst was a lot like being a journalist. Like the journalist, she worked long hours, 10 to 14 a day. She had a journalist's beat, cosmetics. She wrote "stories" on the dozen or so companies she followed. Less like the journalist, in my experience, was that her base salary fell somewhere between \$125,000 and \$200,000 a year, plus generous bonuses if her stories turned out to be true.

When it came to Gillette, Ms. Hall congratulated me on a wise choice. Though she might have preferred Avon herself, she was certain that Gillette wouldn't disappoint its shareholders. "We've liked the stock since it was \$50," she said, "and we still like it now." She explained that Prudential-Bache had a rating system from 1 to 5, with 1 for "aggressive purchase," 2 for "accumulate," 3 for "average performer," 4 for "swap," and 5 for "sell." Each stock was assigned two numbers, the first for its near-term prospects, up to six months, and the second for long-term prospects, six to eighteen months. Avon was rated a "1-1," but Gillette was close behind at "2-2."

More important than the ratings was the annual estimate of earnings, which for Gillette Ms. Hall guessed would be \$5.60 to \$5.70 per share. With the stock selling at \$80, I worked out the P/E ratio. Dividing the \$80 by the \$5.60, I got 14.3, just a fraction higher than I'd heard earlier.

Ms. Hall went on to explain that last year's Gillette story was international earnings boosted by the falling dollar, while this year's story would be domestic profits boosted by market-share gains in blades and toiletries, especially if people liked the new brown razors. She mentioned new Dry Idea deodorant products and Brush Plus makeup as big money-makers, said there'd be solid sales gains